

08 Due Diligence Checklist

SERIES A DUE DILIGENCE - STATUS REPORT

Document ID: DD-2026-001

Prepared by: Blackwood Davis & Associates (Investor Counsel)

STATUS: IN PROGRESS - 87% Complete

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Item	Status	Issues Found
Certificate of Incorporation	? Complete	None
Board Minutes (all)	? Complete	None
Good Standing (Delaware)	? Complete	None
Foreign Qualifications	? Complete	CA only (confirmed)
Stock Certificates/Legends	? Complete	None
Option Grants (all)	? Complete	See Note 2

Note 1: Cap table shows 6,000,000 Common shares outstanding.

David Kim: 800,000 (13.3%). All subject to vesting.

Note 2: 1,200,000 options outstanding across 24 employees.

in the pool for future grants.

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Item	Status	Issues Found
Audited Financials FY2025	? Complete	Clean opinion
Tax Returns (Federal, 2024-2025)	? Complete	None
R&D Tax Credit Studies	? Complete	\$340K credits claimed
Accounts Receivable Aging	? Complete	See Note 3
Outstanding Debt Schedule	? Complete	See Note 4

Note 3: AR aging as of May 31, 2026:

- 31-60 days: \$128,000 (19%)
- Over 90 days: \$12,000 (2%)
- Allowance for doubtful: (\$15,000)
- DSO: 38 days (industry avg: 45 days) - HEALTHY

Note 4: Outstanding debt/obligations:

- AWS Credits Advance: \$75,000 (repaid from usage)
- Corporate Credit Card: \$18,500 balance

NOTE: Term Sheet protective provisions require consent for debt

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Item	Status	Issues Found
Patent Applications (3)	? Complete	See Note 5
Domain Names	? Complete	novatech-ai.com owned
Open Source License Compliance	? In Progress	See Note 7
Contractor IP Assignments	? ISSUE	See Note 8

Note 5: Patent status:

- Status: URGENT - Deadline was Oct 15, 2025. Patent counsel
- 63/445,012 (filed Jan 2025): Non-provisional due Jan 8, 2026.
- 63/467,334 (filed Mar 2025): Non-provisional due Mar 22, 2026.

NOTE: IP Assignment Agreement (IPA-2026-001) Section 4.2 states potentially lapsed. Per this DD report, all were filed timely.

Note 6: Source code audit in progress by independent firm (SecureCode

- No critical vulnerabilities identified
- Code quality score: 8.2/10

Note 7: Open source compliance scan results:

- 0 GPL/copyleft packages in production code ?
- 2 packages with unclear licensing - UNDER REVIEW
- but non-standard wording)

Note 8: IP ASSIGNMENT GAPS (MATERIAL ISSUE):

- ? Priya Patel - IP Assignment signed (March 2024)
- ? Alex Rivera (contractor, Sep-Dec 2024) - NOT SIGNED
- ? Currently in dispute (\$45,000 claim)
- ? Company counsel asserts work-for-hire doctrine applies

Other contractors (5): All assignments on file ?

Note 9: Third-party licenses:

- OpenAI API License: Pay-per-use, standard terms
- Pinecone Vector DB: Enterprise plan, \$24,000/year
- No exclusive licenses or material restrictions identified.

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Item	Status	Issues Found
Top 10 Customer Contracts	? Complete	See Note 10
Partnership Agreements	? Complete	None (0 partners)
Lease Agreement	? Complete	See Note 12

Note 10: Top 10 customers by ARR:

- 2. Pacific Legal Group \$380,000 (9.7%)
- 4. Meridian Insurance \$310,000 (7.9%)
- 6. Continental Finance \$240,000 (6.2%)
- 8. Atlas Compliance Inc \$200,000 (5.1%)
- 10. Pacific Rim Ventures \$160,000 (4.1%)

Note 11: REVENUE CONCENTRATION WARNING

Top 3 customers = 31.8% of ARR

? Moderate concentration risk

? No customer has expressed intent to churn

Note 12: Office Lease:

- Term: Jan 2025 - Dec 2027 (3 years)
- Expansion option: Suite 410 (adjacent, +2,400 sq ft)
- ? Guarantee should be released post-Closing

Note 13: Insurance coverage:

- D&O Insurance: \$5M per occurrence (per IRA requirement)
- Cyber Liability: \$5M
- Key Person (CEO): \$5,000,000

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Item	Status	Issues Found
Employee List & Compensation	? Complete	None
Offer Letters (all employees)	? Complete	None
Employee Handbook	? Complete	None
Workers Comp Claims	? Complete	None (0 claims)
Non-Compete Agreements	? ISSUE	See Note 15

Note 14: Executive compensation summary:

Marcus Chen	CEO	\$275,000	3,200,000 + 200K options
David Kim	VP Eng	\$220,000	800,000 + 100K options
Total executive comp (cash): \$955,000/year			

Note 15: NON-COMPETE DISCREPANCY:

- IRA Article 8: 24-month non-compete for "Key Holders"

? INCONSISTENT across documents

? Recommend harmonizing language even if unenforceable

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Item	Status	Issues Found
Pending Litigation	? Complete	See Note 16
Government Investigations	? Complete	None
Data Privacy Compliance	? In Progress	See Note 17

Note 16: Litigation/disputes:

- Demand letter received April 15, 2026
- No formal complaint filed
- Company counsel recommendation: Settle for \$30,000 + mutual
- STATUS: Settlement negotiations ongoing

RISK ASSESSMENT: LOW

- Resolution expected before or at Closing

Note 17: Data Privacy:

- GDPR compliance: In progress (3 EU customers onboarding Q3)
- Data Processing Agreements: Signed with all customers ?
- Data breach history: None ?

Note 18: SOC 2 Status:

- Type II: Audit period April 1 - September 30, 2026
- Auditor: ComplianceFirst Associates

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CRITICAL (must resolve before close):

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HIGH PRIORITY (resolve within 30 days of close):

- 3. Open source license review (2 packages unclear)

MEDIUM PRIORITY (resolve within 90 days):

- 6. Harmonize related-party thresholds (\$100K vs \$150K)
- 8. Release CEO personal guarantee on office lease

LOW PRIORITY (informational):

- 10. Financial projection headcount discrepancy

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Subject to resolution of Item #1 (Alex Rivera settlement), the investment. All material items are consistent with or better than

Estimated legal fees for closing: \$185,000

- Investor counsel (Blackwood Davis): \$90,000

Term Sheet. Excess \$15,000 to be borne by Investors.)

Prepared by:

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